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GNIOT Institute of Management Studies – PGDM (Batch 2021-23)

(TRIMESTER – IV) END TERM EXAMINATION, SEPTEMBER - 2022

STRATEGIC MANAGEMENT

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 100]

INSTRUCTIONS:

- (i) There are THREE sections in this question paper.**
- (ii) Attempt questions from each section as per the directions.**
- (iii) Make suitable assumptions wherever necessary.**

SECTION-A

(Short Answer Type Questions, do not exceed 100 words)

Q.1. Attempt all parts of the following:

(10×3=30)

- (a)** Differentiate between Blue Ocean and Red Ocean strategies.
- (b)** Explain FDI.
- (c)** Illustrate the use of Resource-based approach.
- (d)** Distinguish between competitive advantage and core competence.
- (e)** Explain EFE matrix.
- (f)** Compare ETOP analysis with SWOT analysis.
- (g)** Enumerate all the primary and support activities of Porter's value chain.
- (h)** Compare licensing with management contract.
- (i)** Distinguish between strategy and tactics.
- (j)** Explain turnaround strategy.

SECTION-B

(Long Answer Type Questions)

Attempt all questions of the following:

(4×10=40)

Q.2. (a) If you were the key manager of a company, suggest the ways you would use the following information in formulating a strategy.

- (i)** Gen Y will form 75% of the workforce by 2025. It is actively shaping corporate culture and expectations. Only 11% define having a lot of money as a definition of success.
- (ii)** It is 6 to 7 times more expensive to acquire new customers than it is to keep a current one.
- (iii)** By 2050 more than 40% of the world's population will live under severe water crisis.
- (iv)** 90% of all internet traffic today is video.

OR

- (b)** As student of business management, you always have a curiosity to know how some firms can perform so well while others struggle and sometimes fail. Kingfisher failed but Coca-Cola is cited for its lasting success. Identify what has enabled Coke to grow so valuable despite persistent efforts by competitors and substitutes to imitate its products and lure away its customers.

Q.3. (a) Explain Porter's Generic Strategies that are used to achieve sustainable competitive advantage. Illustrate with appropriate examples. Examine how IndiGo Airlines, Tanishq and Coke use these strategies.

OR

(b) Sustainable competitive advantage is now the exception, not the rule. Transient advantage is the new normal. Describe transient advantage. Illustrate with appropriate examples how transient advantage is more relevant in this century.

Q.4. (a) Analyse the external environment of an FMCG company such as Dabur post-Covid 19 and post-Ukraine Russia war.

OR

(b) Competing to be the best leads inevitably to a destructive, zero-sum game that no one can win. As offerings converge, gain for one becomes loss for other. Explain the phenomenon of competitive convergence with appropriate examples. Justify that competing to be the best feeds on competition while competing to be unique thrives on innovation.

Q.5. (a) Select and describe any three suitable international business level strategies for an Indian University to set up their operations in USA, Canada, Singapore, and other English-speaking countries.

OR

(b) BCG matrix is often used to prioritise which products within the company product mix gets more funding and attention. However, this model has several limitations. Illustrate the model and its limitations with examples. General Electric Company (GE), assisted by consultant McKinsey & Company developed a nine-cell strategic planning grid that attempts to correct some of the limitations of the BCG matrix. Describe the GE matrix.

SECTION-C

Q.6. Attempt all parts of the following:

(2×15=30)

Mondelez India Foods Private Ltd. (formerly known as Cadbury India Ltd.) intends to increase capacity by overcoming a bottleneck operation for 145-gram Cadbury Dairy Milk Silk chocolates by adding new equipment in order to meet its increased demand of 80,000 chocolates per month. There are two options. The company can manufacture inhouse with a fixed cost of Rs 30,00,000 and variable cost of Rs 75 per chocolate. A reputed vendor associated with a company for 50 years has given a proposal which will have fixed cost Rs 42,00,000 and variable cost of Rs 60 per chocolate. The revenue generated by the company for each unit is Rs 120 against MRP of Rs 150.

6(a) Should the company outsource?

6(b) Explain outsourcing. Describe the strategic rationale for outsourcing.